# WAVERLEY GATEWAY GUIDE

*Connecting International Capital with Emerging & Frontier Markets*

# MONGOLIA

Asia

*Information current as of October 2026*

Dialogue | Trust | Partnership

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## WHERE AND HOW TO ENTER

### KEY INVESTMENT LOCATIONS

| Location / Region | Strategic Importance | Priority Sectors |
|---|---|---|
| Ulaanbaatar | Capital and commercial centre; seat of government, the central bank, the Mongolian Stock Exchange and most banking, services and construction activity | Financial services, construction, retail, ICT, tourism |
| Oyu Tolgoi (Ömnögovi, South Gobi) | One of the world's largest copper-gold mines; output ran at around 450,000 tonnes a year in Q3 2026 as the underground mine ramps up, targeting about 500,000 tonnes a year on average from 2028 | Copper and gold mining, mining services, power and water infrastructure |
| Tavan Tolgoi / Gashuunsukhait border | Coking-coal heartland linked to China's Ganqimaodu crossing, where a 33.5 km dual-gauge cross-border railway that broke ground in May 2025 is due for completion in 2027 | Coal mining, rail and border logistics |
| Zamyn-Üüd (Dornogovi) | Main rail crossing to China on the Trans-Mongolian Railway and site of an operating free zone | Logistics, trade, warehousing, light processing |
| Altanshiree and Zuuvch Ovoo (Dornogovi) | Home to the $1.7 billion Mongol Refinery (1.5 million tonnes a year, due 2028) and Orano's Zuuvch Ovoo uranium project, where construction began in June 2026 | Refining, energy, uranium, industrial services |
| Erdenet and Darkhan (north) | Established industrial centres built around the Erdenet copper-molybdenum operation and manufacturing on the rail line to Russia | Mining, metals processing, manufacturing, agro-processing |
| Khushig Valley | Location of Chinggis Khaan International Airport and a planned free zone near the capital, still in development | Aviation, logistics, real estate, services |
| Altanbulag and Tsagaannuur free zones | Operating free zones on the Russian border and in the far west, positioned to benefit from the EAEU interim trade agreement in force since July 2026 | Cross-border trade, agro-processing, logistics |

### INVESTOR ENTRY ROUTES

- Invest Mongolia (Investment and Trade Agency, under the Ministry of Economy and Development) facilitates and registers foreign investment and provides sector guidance
- Investment Law (2013) stabilisation certificates fixing corporate income tax, customs duty, VAT and royalty rates for 5–18 years in mining, heavy industry and infrastructure (5–15 years in other sectors), with longer terms for projects above MNT500 billion
- Foreign investment is generally permitted without prior approval; approval applies only where a foreign state-owned investor acquires 33% or more of a company in mining, banking and finance, or media and communications. A revised Foreign Investment Law is in preparation
- Free Zone Law (2015) regime at Zamyn-Üüd, Altanbulag and Tsagaannuur, with Khushig Valley in development, offering customs, VAT and property-tax exemptions for qualifying activities
- Floating tögrög managed by the Bank of Mongolia; profits and dividends can be remitted abroad subject to foreign-exchange compliance and withholding tax (10% on dividends), reducible under 26 double taxation treaties
- Mining entry through licences under the Minerals Law and partnership with Erdenes Mongolia on deposits of strategic importance, as in the Oyu Tolgoi and Orano uranium investment agreements
- Investment protection agreements with 43 countries, New York Convention arbitration and Energy Charter Treaty membership support dispute resolution for long-term projects

### MARKET-ENTRY OBSERVATION

Mongolia in October 2026 is one of Asia's fastest-growing economies, powered by a mining upswing that is lifting exports, reserves and public revenues. GDP grew 7.7% in the first half of 2026, with mining up 31.5% and agriculture up 11.3%, following 6.8% growth in 2025; the IMF expects 6.2% for the full year. Exports reached $16.2 billion in January–September, up 51.2%, led by copper concentrate (+79.4%) as the Oyu Tolgoi underground mine ramped up to an annualised rate of around 450,000 tonnes, and gross international reserves rose to $8.9 billion by end-September from $7.0 billion at end-2025. Cumulative FDI since 1990 stands at $52.1 billion, almost 39% of it invested since 2020, and new flagship projects continue to break ground, including Orano's Zuuvch Ovoo uranium mine in June 2026. Stabilisation certificates under the 2013 Investment Law, the EAEU interim trade agreement in force since July 2026 and IMF-backed work on a revised Foreign Investment Law are strengthening the platform for investors.

Mongolia's main structural challenge is concentration: China takes over 93% of exports, and the country imports nearly all its refined fuel, much of it from Russia. Russian refinery outages produced fuel queues in Ulaanbaatar from August 2026, and together with food prices pushed inflation to 12.9% in September, prompting the Bank of Mongolia to raise its policy rate to 12.5%. Mongolia has responded on several fronts: mining revenues kept the budget balanced through August, reserves have reached $8.9 billion, and the $1.7 billion Mongol Refinery at Altanshiree, financed by India's Exim Bank and due in 2028, will provide 1.5 million tonnes a year of domestic refining capacity. The Gashuunsukhait–Ganqimaodu railway, the EAEU agreement and long-standing "third neighbour" ties with Japan, the EU, the US and the UK are widening trade routes, creating openings in fuel storage, logistics, processing and energy for investors positioned for diversification.

## INVESTOR RISK & MARKET ACCESS

### KEY ENTRY BARRIERS

| Issue | Potential Impact | Possible Mitigation |
|---|---|---|
| Export concentration on China and mining | China takes 93.2% of exports and mineral products dominate the export basket, so earnings track commodity prices and border throughput | Strong 2026 copper growth and rising reserves provide a cushion; diversification into processing, agriculture and EAEU and Japan markets is creating new opportunities |
| Fuel import dependence | Nearly all refined fuel is imported, much of it from Russia; supply shortfalls caused queues and price rises in August–September 2026 | The Mongol Refinery (due 2028) and investment in storage and alternative supply open opportunities; investors should screen Russian counterparties against applicable sanctions lists |
| Inflation and interest rates | Inflation reached 12.9% in September 2026 against a 6±2% target, and the policy rate was raised to 12.5% in August | Use hedging and dollar-linked contracts where possible; the IMF projects inflation easing to about 8.5% by end-2027 |

| Issue | Potential Impact | Possible Mitigation |
|---|---|---|
| Fiscal expansion | Supplementary 2026 and draft 2027 budgets include tax cuts and higher spending; public debt is projected at 47% of GDP in 2026 | Stabilisation certificates lock in key tax rates; IMF engagement supports rebuilding buffers from mining windfalls |
| Policy and regulatory predictability | Changes of government are frequent, most recently a three-party coalition under Prime Minister Uchral from March 2026, and investment rules are being revised | Secure stabilisation certificates or investment agreements, use international arbitration, and engage early on the revised Foreign Investment Law |
| Landlocked geography and border capacity | All trade passes through China or Russia, and limited transport at Ganqimaodu lowered coal exports in September 2026 | The cross-border railway due in 2027 and Trans-Mongolian upgrades will lift capacity, creating rail, logistics and dry-port opportunities |
| Infrastructure in free zones and regions | Invest Mongolia notes that free zones still lack infrastructure and have yet to reach their potential | Early movers can shape zone development and secure incentives; DFI co-finance from the EBRD, ADB and World Bank supports infrastructure projects |

### INVESTOR RISK NOTE

Mongolia's risk profile is that of a resource-rich economy with exceptional growth momentum and improving buffers. Copper output at Oyu Tolgoi is rising strongly, exports grew 51.2% in the first nine months of 2026 and reserves reached $8.9 billion, while long-term investment agreements with Rio Tinto and Orano demonstrate that large, stable partnerships are achievable. The main risks are concentration in mining and on China, reliance on imported fuel, inflation of 12.9% and an expansionary fiscal stance that the IMF has advised should be balanced by rebuilding buffers. These are actively managed through monetary tightening, the Mongol Refinery, new rail links and wider trade agreements. Mongolia is not subject to international sanctions, but investors with Russian supply chains should apply standard sanctions screening. Investors are best protected by securing stabilisation certificates or investment agreements, hedging currency exposure and building fuel and logistics contingencies into plans.

### MARKET ACCESS

Mongolia has been a WTO member since 1997 and holds preferential access to Japan through an Economic Partnership Agreement in force since 2016, to the EU through GSP+ since 2005, and to Asia-Pacific markets through APTA since 2021. The EAEU interim trade agreement, in force since 22 July 2026, cuts duties on 367 product lines on each side with Russia, Kazakhstan, Belarus, Armenia and Kyrgyzstan. China is by far the main export market (93.2% of exports in January–September 2026), followed by Switzerland, while China and Russia supply most imports. The Trans-Mongolian Railway through Zamyn-Üüd and Altanbulag links Mongolia into China–Russia transit, and the new Gashuunsukhait–Ganqimaodu line will add a second heavy-freight rail link to China from 2027. Investment protection agreements with 43 countries and 26 double taxation treaties support cross-border structuring.

## WHO SHOULD THE INVESTOR MEET?

### INSTITUTIONAL LANDSCAPE

| Actor | Why It Matters | Waverley Engagement Angle |
|---|---|---|
| Office of the Prime Minister (Nyam-Osoryn Uchral) | Leads the three-party coalition government formed in April 2026 and sets economic and fiscal priorities, working alongside President Ukhnaagiin Khürelsükh | Primary reference point for government strategy and flagship project approvals |
| Invest Mongolia (Investment and Trade Agency) | National investment promotion and registration agency | Standard first point of contact for market entry, registration and incentive guidance |
| Ministry of Economy and Development | Issues stabilisation certificates and leads investment policy, including the revised Foreign Investment Law; headed by First Deputy Prime Minister Jadambyn | Key counterpart for stabilisation certificates and investment agreements |

| Actor | Why It Matters | Waverley Engagement Angle |
|---|---|---|
| | Enkhbayar | |
| Bank of Mongolia | Central bank; sets the policy rate (12.5%) and manages the tögrög and reserves | Relevant for currency, banking and repatriation matters |
| Ministry of Mining and Heavy Industry | Oversees mineral licensing and the mining, refining and heavy-industry agenda | Essential for mining, processing and energy-sector entry |
| Erdenes Mongolia | State holding company for strategic mining assets, including the state's interests in Oyu Tolgoi and Tavan Tolgoi | Central partner for joint ventures in strategic deposits |
| Ministry of Finance | Leads budget, tax policy and public debt management, including the 2026 supplementary and 2027 budgets | Relevant for tax treatment, public-private partnerships and fiscal outlook |

## CURRENT INTERNATIONAL BUSINESS CHANNELS

The Mongolian National Chamber of Commerce and Industry is the principal domestic business body, while the American Chamber of Commerce in Mongolia, EuroCham Mongolia, BritCham Mongolia and the Business Council of Mongolia represent international investors and run regular policy dialogues with government. The annual Mongolia Economic Forum in Ulaanbaatar and the Mongolia–EU Business and Investment Forum provide high-level access to ministers and state companies. The EBRD, Asian Development Bank and World Bank Group maintain active programmes in finance, energy, infrastructure and SMEs, and Rio Tinto, Orano and other major operators are a valuable source of practical intelligence on mining logistics and investment agreements.

## INVESTOR PROFILE BEST SUITED

Mongolia best suits investors with long horizons and experience of resource markets: mining and mining-services companies drawn by world-class copper, coal, gold and uranium deposits; infrastructure, rail and logistics investors positioned for new China and EAEU links; energy investors in refining, fuel storage and renewables; and agri-food, cashmere and textiles processors building on strong agricultural growth and GSP+ access to the EU. Financial investors and DFIs co-investing alongside the EBRD, ADB and IFC can also benefit from the growth of Mongolia's banking and capital markets, provided currency exposure is hedged.

## FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Invest Mongolia and the Ministry of Economy and Development
Open direct dialogue on sector incentives and stabilisation certificates, and track the revised Foreign Investment Law as it moves through parliament.

STEP 2: Secure legal stability before committing capital
Use stabilisation certificates or investment agreements and international arbitration clauses to lock in tax terms for long-term projects.

STEP 3: Build fuel, logistics and currency contingencies into planning
Model fuel-supply, border-capacity and tögrög scenarios, informed by the 2026 fuel shortages and the planned refinery and rail capacity.

STEP 4: Position for new trade corridors
Follow the Gashuunsukhait–Ganqimaodu railway and EAEU agreement for opportunities in processing, logistics and free-zone operations.

STEP 5: Partner with DFIs and established operators
Engage the EBRD, ADB and World Bank Group, and leading mining operators, to co-finance projects and share practical market intelligence.